

The Home Depot, Inc.: what the company says about each flag

Reports are cited by year-end: “2026 report” is the annual report for the year ended February 1, 2026, and “2025 report” the one for the year ended February 2, 2025. Amounts are \$m and figures cover the whole company unless a segment is named. FY Feb-25 had 53 weeks. Readings are judgments, not findings.

Inventory: up 10.1% against cost of sales up 3.4%

- **The company says:** turnover fell to 4.4 from 4.7, “primarily driven by higher average inventory levels” (2026 report, p. 32), and cash flow fell partly on “increased inventories” (p. 37). Neither gives a cause. Last year: different. Turnover rose on “lower average inventory levels within our Primary segment” (2025 report, p. 32), and cash flow cited “more normalized inventory levels” (p. 38).
- **Test:** inventory rose 2,366. GMS brought 568 at acquisition (24%, p. 74). The cash flow statement shows 1,498 (63%) built outside acquisitions, and the remaining 300 is not identified. Primary-segment cost of sales fell 1.5%. The explanation restates the movement, so it does not hold.
- **Reading:** can't tell from these documents; possibly higher unit costs, since the company reports “increased costs as a result of tariffs” (p. 32) but does not link them to inventory. An inventory split by segment, or a falling Primary gross margin, would point to slow-moving stock; that margin rose from 33.9% to 34.4%, and cost-method write-downs were “not material” (p. 49).
- **Read next:** Note 1, Merchandise Inventories (2026 report, p. 49) has no segment split or reserve movement, so the quarterly reports (not attached) are the place to look.

Payables: down 3.7% while cost of sales rose 3.4%

- **The company says:** working capital moved on “the timing of vendor payments” (2026 report, p. 37). Last year: the same phrase, in the opposite direction, as an offset that helped cash flow (2025 report, p. 38).
- **Test:** payables fell 447 even though GMS added 380 (p. 74), so the fall excluding GMS is about 827. Supplier-finance obligations fell from 598 to 414 (p. 51), which is 184, or 41% of the reported fall; invoices confirmed fell 14.5%. Days payable went 35.9 → 41.7 → 38.1, consistent with last year's favourable timing unwinding. The company gives no number, so the explanation partly holds.
- **Reading:** most likely ordinary: a reversal of the year-earlier timing benefit, which also lifted that year's cash flow. Shorter terms would point to a different reading, but the stated terms are unchanged at “30 to 60 days” (p. 51) in both reports.
- **Read next:** Note 1, Supplier Finance Program (2026 report, p. 51), and the quarterly balance sheets.

Operating margin: 13.5% to 12.7%, third yearly fall

- **The company says:** SG&A rose on “higher payroll and related costs” and “a non-recurring legal-related benefit recognized during fiscal 2024”; amortization rose on the SRS and GMS acquisitions (2026 report, p. 34). Last year: partly the same: “higher payroll costs, deleverage from a negative comparable sales environment and lower legal-related benefits” (2025 report, p. 34).
- **Test:** of the 0.81-point fall, 0.40 (50%) is mix: the acquired distribution businesses (“Other”) earn 2.5% and went from 4.0% to 7.7% of sales (p. 55). Another 0.36 (44%) is the Primary segment's margin falling from 13.9% to 13.5%, and 0.05 is Other's own margin falling. Primary SG&A rose 3.8% (1,063) while Primary sales fell 0.7%. The payroll and legal amounts are not given, so the explanation partly holds.
- **Reading:** most likely the business weakening: Primary margin has gone 14.2% → 13.9% → 13.5% on flat sales, with payroll cited in both years and lower-margin acquisitions added on top. A large legal benefit in FY Feb-25 would mean that year's base was raised and the fall is more ordinary; the amount is not disclosed.
- **Read next:** Note 2, Segment Reporting (2026 report, pp. 55–56).

The other flags

- **Cash against earnings:** “timing of vendor payments and increased inventories”, plus “the deferral of our fourth quarter fiscal 2024 estimated federal tax payment” (2026 report, p. 37). The payables, inventory and tax-payable lines swing 3,838 against a 3,485 fall in operating cash flow (110%), so it holds. Most likely ordinary on tax (809 deferred into the year, 698 reversing); the rest follows inventory and payables above.
- **Receivables:** nothing said this year; last year the rise was “primarily as a result of the SRS acquisition” (2025 report, p. 48). GMS brought 899 of receivables (p. 74) against a rise of 694 (130%), so an acquisition explanation would hold. Most likely ordinary, though the allowance is still only “not material” (p. 48) while customer receivables went 924 → 2,588.

Adjusted earnings

- Adjusted diluted EPS exceeded reported by \$0.14 (0.9%) in FY Jan-24, \$0.33 (2.2%) in FY Feb-25 and \$0.46 (3.2%) in FY Feb-26 (releases, p. 8). The only adjustment is acquired-intangible amortization (186 → 425 → 607), a charge that recurs and grows with each acquisition.
- Neither release calls any item non-recurring, one-time or unusual. The 2026 report calls the FY Feb-25 legal benefit “non-recurring” (p. 34), yet the 2025 report refers to “legal-related benefits” (p. 34) in FY Jan-24 as well; neither is quantified or adjusted out.

Changes in estimate that lifted income

- None disclosed: useful lives and the stated policies are unchanged between the two reports.
- The nearest item is shrink. The cost of a 10% higher shrink rate fell from “approximately \$95 million” (2025 report, p. 39) to “approximately \$79 million” (2026 report, p. 39), which implies a shrink estimate about 17% lower, roughly 160 or 0.1 point of margin. That is consistent with “lower shrink” (p. 34) in both reports, but the documents give no count results to test it.

No figure used in the first-step scan differs on the revised basis; the reclassifications touch only lines that scan did not use.